IPS CONSTRAINTS

Learning Outcomes

- describe the major components of an IPS
- describe the investment constraints of liquidity, time horizon, tax concerns, legal and regulatory factors, and unique circumstances and their implications for the choice of portfolio assets

In the following sections, we analyze five major types of constraints on portfolio selection: liquidity, time horizon, tax concerns, legal and regulatory factors, and unique circumstances.

Liquidity Requirements

The IPS should state what the likely requirements are to withdraw funds from the portfolio. Examples for an individual investor would be outlays for covering healthcare payments or tuition fees. For institutions, it could be spending rules and requirements for endowment funds, the existence of claims coming due in the case of property and casualty insurance, or benefit payments for pension funds and life insurance companies.

When the client does have such a requirement, the manager should allocate part of the portfolio to cover the liability. This part of the portfolio will be invested in assets that are liquid—that is, easily converted to cash—and have low risk when the liquidity need is actually present (e.g., a bond maturing at the time when private education expenses will be incurred), so that their value is known with reasonable certainty. For example, the asset allocation in the insurance portfolios of US insurer Progressive Corporation (see Exhibit 3) shows a large allocation to fixed-income investments (called “Fixed maturities” by the company), some of which are either highly liquid or have a short maturity. These investments enable the company, in the case of automobile insurance, to pay claims for which the timing is unpredictable.

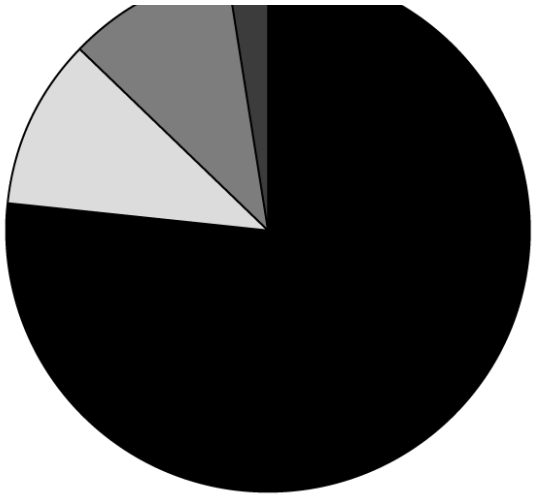
Exhibit 3:

Asset Allocation of Progressive Corporation

Rate Your Confidence
High
Medium
Low
Continue »

Category
Basics of Portfolio Planning and Construction

Related Questions:
Practice questions related to this topic



Fixed maturities, 76.9%
Short-term investments, 10.4%
Common equities, 10.2%
Nonredeemable preferred stocks, 2.5%

▶ Expand / collapse Extended Description

Source: Progressive Corporation, 2018 Second Quarter Report.

Time Horizon

The IPS should state the time horizon over which the investor is investing. It may be the period over which the portfolio is accumulating before any assets need to be withdrawn; it could also be the period until the client's circumstances are likely to change. For example, a 55-year-old pension plan investor hoping to retire at age 65 has a 10-year horizon. The portfolio may not be liquidated at age 65, but its structure may need to change, for example, as the investor begins to draw an income from the fund.

The time horizon of the investor will affect the nature of investments used in the portfolio. Illiquid or risky investments may be unsuitable for an investor with a short time horizon because the investor may not have enough time to recover from investment losses, for example. Such investments, however, may be suitable for an investor with a longer horizon, especially if the risky investments are expected to have higher returns.

EXAMPLE 5

Investment Time Horizon

1. Frank Johnson is investing for retirement and has a 20-year horizon. He has an average risk tolerance. Which investment is likely to be the *least* suitable for a major allocation in Johnson's portfolio?

   A. Listed equities
   B. Private equity
   C. US Treasury bills

   Hide Solution

   Solution:

   C is correct. With a 20-year horizon and average risk tolerance, Johnson can accept the additional risk of listed equities and private equity compared with US Treasury bills.

2. Al Smith has to pay a large tax bill in six months and wants to invest the money in the meantime. Which investment is likely to be the *least* suitable for a major allocation in Smith's portfolio?

   A. Listed equities

Hide Solution

Solution:

B is correct. Private equity is risky, has no public market, and is the least liquid among the assets mentioned.

Tax Concerns

Tax status varies among investors. Some investors will be subject to taxation on investment returns and some will not. For example, in many countries, returns to pension funds are exempt from tax. Some investors will face a different tax rate on income (dividends and interest payments) than they do on capital gains (associated with increases in asset prices). Typically, when there is a differential, income is taxed more highly than gains. Gains may be subject to a lower tax rate, or part or all of the gain may be exempt from taxation. Furthermore, income may be taxed as it is earned, whereas gains may be taxed when they are realized. Hence, in such cases there is a time value of money benefit in the deferment of taxation of gains relative to income.

In many cases, the portfolio should reflect the tax status of the client. For example, a taxable investor may wish to hold a portfolio that emphasizes capital gains and receives little income. A taxable investor based in the United States is also likely to consider including US municipal bonds ("munis") in his portfolio because interest income from munis, unlike from Treasuries and corporate bonds, is exempt from taxes. A tax-exempt investor, such as a pension fund, will be relatively indifferent to the form of returns.

Legal and Regulatory Factors

The IPS should state any legal and regulatory restrictions that constrain how the portfolio is invested.

In some countries, such institutional investors as pension funds are subject to restrictions on portfolio composition. For example, there may be a limit on the proportion of equities or other risky assets in the portfolio or on the proportion of the portfolio that may be invested overseas. The United States has no limits on pension fund asset allocation, but some countries do, examples of which are shown in Exhibit 4. Pension funds also often face restrictions on the percentage of assets that can be invested in securities issued by the plan sponsor, so called **self-investment limits**.

Exhibit 4:

Examples of Pension Fund Investment Restrictions

Country	Listed Equity	Real Estate	Government Bonds	Corporate Bonds	Foreign Currency Exposure
Switzerland	50%	30%	100%	100%	Unhedged 30%
Japan	100%	Not permitted	100%	100%	No limits
South Africa	75%	25%	100%	75%	25%

Source: OECD "Survey of Investment Regulations of Pension Funds," July 2018.

When an individual has access to material nonpublic information about a particular security, this situation may also form a constraint. For example, the directors of a public company may need to refrain from trading the company's stock at certain points of the year before financial results are published. The IPS should note this constraint so that the portfolio manager does not inadvertently trade the stock on the client's behalf.

Unique Circumstances and ESG Considerations

composition. A client may have considerations derived from her faith or moral values that could constrain investment choices. For instance, an investor seeking compliance with Shari'a (the Islamic law) will avoid investing in businesses and financial instruments inconsistent with Shari'a, such as casinos and bonds, because Shari'a prohibits gambling and lending money on interest. Similarly, an investor may wish to avoid investments that he believes are inconsistent with his faith. Charitable and pension fund investors may have constituencies that want to express their values in an investment portfolio.

Whether rooted in religious beliefs or not, a client may have personal objections to certain products (e.g., weapons, tobacco, gambling) or practices (e.g., environmental impact of business activities, human impact of government policies, labor standards), which could lead to the exclusion of certain companies, countries, or types of securities (e.g., interest-bearing debt) from the investable universe as well as the client's benchmark. Investing in accordance with such considerations is referred to as socially responsible investing (SRI).

Specific ESG investment approaches can be classified in a variety of ways, and the investment community lacks clear consensus on terminology. We define six generic ESG investment approaches:

- *Negative screening*: Excluding companies or sectors based on business activities or environmental or social concerns;
- *Positive screening*: Including sectors or companies based on specific ESG criteria, typically ESG performance relative to industry peers;
- *ESG integration*: Systematic consideration of material ESG factors in asset allocation, security selection, and portfolio construction decisions;
- *Thematic investing*: Investing in themes or assets related to ESG factors;
- *Engagement/active ownership*: Using shareholder power to influence corporate behavior to achieve targeted ESG objectives along with financial returns; and
- *Impact investing*: Investments made with the intention to generate positive, measurable social and environmental impact alongside a financial return.

These ESG investment approaches may impact a portfolio manager's investment universe and may also require the investment management firm to put in place a process to systematically incorporate ESG factors into the investment process.

EXAMPLE 6

Ethical Preferences

The BMO Responsible UK Equity Fund is designed for investors who wish to have ethical and ESG principles applied to the selection of their investments. The fund's managers apply both positive (features to be emphasized in the portfolio) and negative (features to be avoided in the portfolio) screening criteria:

Product-Based Screening Criteria

- Alcohol
- Arctic and oil sands
- Coal mining
- Gambling
- Nuclear power generation
- Pornography
- Tobacco
- Weapons

Conduct-Based Screening Criteria

Environmental

- Animal welfare
- Health and safety
- Human rights and oppressive regimes
- Labor standards

Governance

- Business ethics

[Excerpted from BMO Responsible UK Equity Fund documents; https://www.bmogam.com/gb-en/intermediary/bmo-responsible-uk-equity-2-inc/.]

When the portfolio represents only part of the client's total wealth, there may be aspects or portions of wealth not under the control of the manager that have implications for the portfolio. For example, an employee of a public company whose labor income and retirement income provision are reliant on that company, and who may have substantial investment exposure to the company through employee share options and stock holdings, may decide that his portfolio should not invest additional amounts in that stock. An entrepreneur may be reluctant to see her portfolio invested in the shares of competing businesses or in any business that has risk exposures aligned with her entrepreneurial venture.

A client's income may rely on a particular industry or asset class. Appropriate diversification requires that industry or asset class to be de-emphasized in the client's investments. For example, a stockbroker should consider having a relatively low weighting in equities, as his skills and thus his income-generating ability are worth less when equities do not perform well. Employees should similarly be wary of having concentrated share positions in the equity of the company where they work. If the employer encounters difficulties, not only may its employees lose their jobs but their investment portfolios could also suffer a significant loss of value.

Discuss Filter
Discussion
What do you want to discuss... (required)

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search